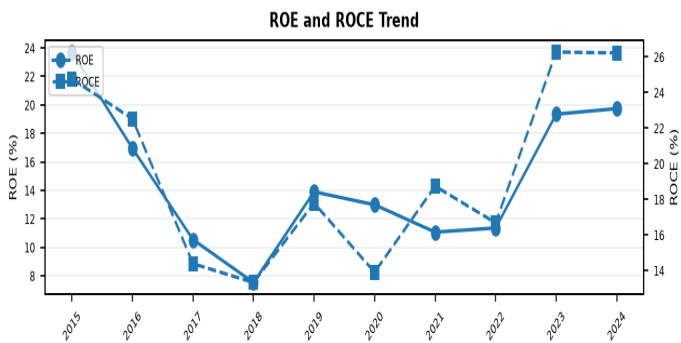
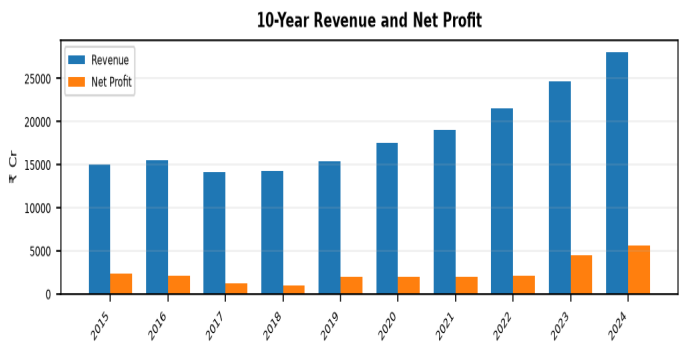


Dr Reddys Laboratories Ltd

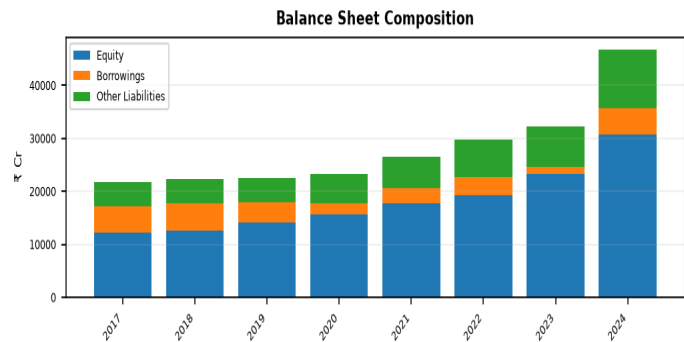
Nifty 100 Company Tearsheet | DRREDDY

Healthcare | Dr. Reddy's Laboratories Ltd is a leading India-based pharmaceutical company which offers a portfolio of products and services, including Active Pharmaceutical Ingredients (APIs), Custom Pharmaceutical services (CPS), generics, biosimilars and differentiated formulations.

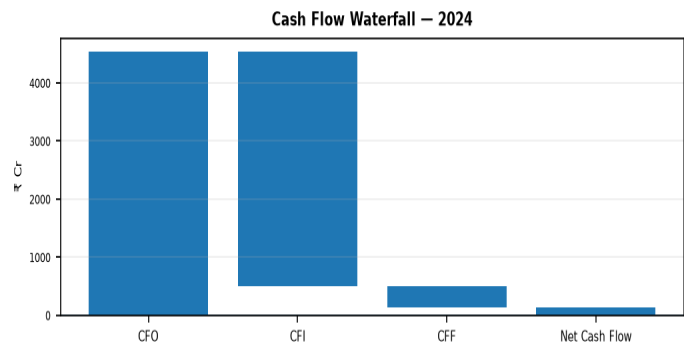
ROE	ROCE	Debt / Equity
19.7%	26.2%	0.07
Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
12.6%	23.4%	509 Cr



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION: Reinvestor